

POTENTIAL EFFECTS OF THE MIDDLE EAST
CONFLICT ON TANZANIA'S ECONOMY, OIL
AND BANKING SECTORS

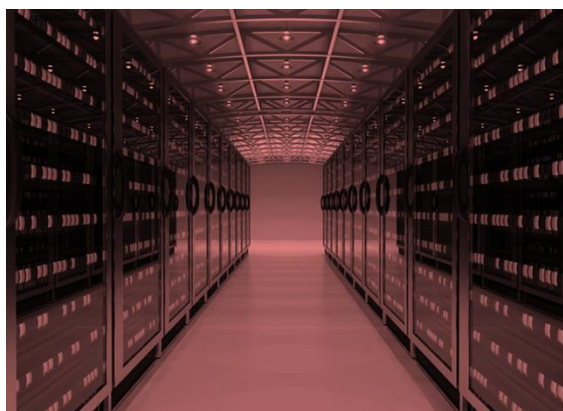


AHMED
BAKARI

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PREPARED BY AHMED Y BAKARI

SENIOR FINANCING ANALYST



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EXECUTIVE SUMMARY

The ongoing conflict between the United States/ Israel and Iran may significantly affect the global oil market, especially in the Middle East and Gulf countries, which are major oil producers. Although the effects are not yet visible in Tanzania, the impact may gradually emerge if the conflict persists for an extended period.

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IMPACT ON THE OIL SECTOR

- i. Rising crude oil prices globally may lead to higher fuel costs in Tanzania.
- ii. Disruptions in supply from Gulf States could cause temporary shortages or fluctuations in fuel availability.
- iii. Higher fuel costs would increase operational expenses for businesses across sectors, particularly transport, logistics, and manufacturing.
- iv. Local oil businesses may experience tighter margins and potential delays in importing petroleum products due to higher international prices and transport costs.

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IMPACT ON THE ECONOMY AND GOODS PRICES

- i. The conflict may increase transportation costs due to higher oil prices. As a result, agricultural products transported to urban areas like Dar es Salaam may have higher selling prices, contributing to inflation.
- ii. The cost of goods and services across sectors may rise, affecting household purchasing power and overall economic stability.
- iii. Impact on Customers Dependent on International Trade:
 - a) Importers and exporters may face rising shipping costs and limited access to international supply chains.
 - b) Reduced flight operations and higher freight expenses can delay shipments, disrupt business operations, and reduce revenue generation.
 - c) Businesses that depend on imported raw materials or fuel may face challenges in meeting their production targets, which could negatively affect their cash flow and their ability to service financing obligations on time.

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IMPACT ON THE BANKING SECTOR

- i. Borrowers in trade, import-export, and oil-dependent businesses may face operational challenges and increased financial strain.
- ii. Some large Tanzanian banks involved in petroleum import financing under the Bulk Procurement System (BPS), mainly through a few large oil importing companies that win tenders for bulk procurement, face potential risks due to the ongoing conflict.
 According to public information from EWURA and TPDC, these imports are mainly financed through Letters of Credit (LCs) issued by local banks to international suppliers, with some transactions reaching up to USD 100 million.
 Due to increased security risks in the Strait of Hormuz, shipping and insurance costs may rise and shipments may face disruptions. Since LC payments are based on documents rather than the physical delivery of goods, banks may still be required to honor payment even if the cargo has not yet arrived in Tanzania, increasing financial exposure for the banking sector.
- iii. Higher risk of delayed repayments or defaults may emerge due to supply chain disruptions and increased costs.

- iv. Banks need to closely monitor vulnerable Financing portfolios, proactively engage with high-risk customers, and prepare contingency plans to mitigate the risk of potential non-performing financing.

Although these impacts are not yet visible, they may affect Tanzania if the conflict continues. Monitoring the situation early and preparing in advance will help reduce risks in the oil sector, international trade, other businesses, and the banking sector.

At its narrowest point, Strait of Hormuz is only about 21 miles (34 kilometers) wide



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POTENTIAL IMPACT ON AMANA BANK LIMITED

Amana Bank Limited may not be able to avoid the consequences of the ongoing conflicts in the Middle East, particularly because part of the Bank's financing portfolio includes customers involved in the oil and trade sectors.

OIL SECTOR

CUSTOMER NAME	AMOUNT IN TZS
OLYMPIC PETROLEUM (T) LTD	4,190,731,405
NASSOR SERVICE STATION COMPANY LIMITED	1,141,171,997
MIYUJI FILLING STATION	467,099,868
MAJID MASUD ALLY	460,065,000
GIGA OIL COMPANY LIMITED	453,910,991
WILLIAM SONS SERVICE STATION	351,917,721
AL BATLET PETRO FILLING STATION PARTNERSHIP	154,347,999
TRIPLE S SERVICE STATION	144,669,529
TOTAL	7,363,914,510



For customers operating in the oil business, the amount of financing required is likely to increase. This is because the same volume of oil products that were previously purchased at lower prices will now need more funding due to higher global oil prices. Although the trading volumes may remain the same, the cost of procurement and operations will increase significantly.

The key question is whether **Amana Bank Limited** will be able to continue financing these customers at increased levels. This situation may create several challenges:

- i. **Single Borrower Limit (SBL):** The Bank may face limitations due to regulatory exposure limits, which could restrict the ability to extend additional financing to some customers.
- ii. **Security Coverage Requirements:** Customers may be required to increase their collateral to maintain the Bank's internal security coverage ratio of 140%, in line with the Bank's policy.
- iii. **Liquidity Pressure:** The Bank may experience liquidity constraints when providing larger financing amounts, especially considering that the business volumes of these customers remain unchanged while their operational costs increase.

TRADE SECTOR

The impact of the conflict will not only affect customers directly involved in the oil business but also those in the general trading sector. Many customers may not deal directly with oil; however, the conflict may disrupt the international supply chain, which could affect their business operations.

For example, traders dealing with food & clothing products, such as Barcelona Enterprises Limited Al Maida Trading Company Limited and Nassir Salim Rashid, so many others, may face delays in receiving their goods due to disruptions in global shipping routes and supplier operations.

In addition, transportation and logistics (shipping) costs are likely to increase, which will ultimately raise the selling prices of the goods.

Unlike essential commodities such as fuel, clothing is considered a non-essential or discretionary product. As prices increase, customers may reduce their purchases or postpone buying such items. This could result in lower sales volumes for traders and if the business performance of these traders declines significantly, it may affect their cash flow and repayment capacity. Consequently, this situation may increase the risk of delayed repayments or potential financing stress for Amana Bank Limited.

Below are some customers who deal in garments and food items and rely on large-volume imports.

CUSTOMER NAME	AMOUNT IN TZS
BARCELONA ENTERPRISES LIMITED	1,912,702,829
MATERIAL PALACE COMPANY LTD	1,829,007,992
AL MAIDA TRADING COMPANY LIMITED	828,421,607
NASSIR SALIM RASHID	671,791,811
TOTAL	5,241,924,239



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IMPACT OF OVERDUE INVENTORY ON BANK LIQUIDITY

Delays in customers receiving goods due to shipping problems will likely raise overdue inventory. This can put pressure on the Bank's liquidity, as customers may delay starting their instalment payments, which are the Bank's main cash inflows.

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MEASURES AMANA BANK LIMITED CAN TAKE TO REDUCE THE IMPACT IF THE SITUATION PERSISTS FOR A LONG TIME

1. Portfolio Review and Risk Reassessment

The Bank should conduct an immediate review of customers in high-risk sectors, especially those involved in oil trading, transport, logistics, and import-dependent trading businesses (e.g., electronics, clothing). Their repayment capacity and cash flow projections should be reassessed based on the new market condition.

2. Close Monitoring of Key Customers

Customers who are heavily affected by increased operational costs or supply chain disruptions should be placed under close monitoring. Relationship Managers should conduct frequent business visits and transaction monitoring to detect early warning signs of financial stress.

3. Strengthening Security Coverage

Where financing exposure is expected to increase due to rising prices, the Bank should ensure that the security coverage ratio of at least 140% is maintained according to the Bank's policy. Customers may be required to top up collateral or provide additional securities before any enhancement of facilities.

4. Controlled Financing Growth

The Bank should avoid automatic increases in financing limits simply because commodity prices have increased. Any enhancement should be carefully assessed, considering Single Borrower Limit (SBL), sector exposure, and the Bank's liquidity position.

5. Diversification of the Financing Portfolio

Amana Bank should reduce concentration risk by diversifying its financing portfolio across different sectors, rather than relying heavily on oil-related and import-dependent trading businesses.

6. Liquidity and Risk Buffer Planning

Given that financing demand may increase due to rising prices, the Bank should strengthen liquidity management and ensure adequate buffers to support priority customers while maintaining financial stability.

7. Frequency Stress Testing

The Bank, through the Risk Department, should conduct regular stress testing based on current assumptions to identify potential risks and determine the best solutions if the conflict continues for an extended period.

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CONCLUSION

All the measures outlined above will help safeguard and preserve the quality of Amana Bank Limited's financing portfolio should the conflict persist for an extended period.

Through continuous monitoring of customer performance, maintaining strong collateral coverage, exercising prudent control over new financing, restructuring facilities where necessary, diversifying the portfolio, and conducting stress testing under such scenarios, the Bank can minimize credit deterioration and better manage potential liquidity challenges even during prolonged economic disruption.

A prolonged conflict may lead to disruptions in global trade, increased oil and transportation costs, and rising inflationary pressures, all of which could adversely affect borrowers' repayment capacity and overall economic growth. Therefore, implementing these proactive risk mitigation measures is essential to protect the Bank's financial stability.